Table 74.8 Performance and Failures Over Time for Bull Markets

Description	Up Breakout	Down Breakout
1990s	31%	–13%
2000s	41%	–8%
2010s	39%	–7%
Performance (above), Failures (below)		
1990s	20%	33%
2000s	17%	55%
2010s	21%	61%

Failures over time. Want a cheap thrill? Look at how the failure rates climb after downward breakouts. The rise from 33% in the 1990s nearly doubled in the 2010s, to 61%. Both the 1990s and 2010s had only bull markets, so the two periods are comparable.

I looked at the Dow industrials over those two decades. The 1990s show the Dow rise by four times its opening price. The 2010s saw price rise by 2.6 times. So the 1990s had better bullish performance. I would think that a downward breakout in the 1990s, when price was rising strongly, would cause more failures than the 2010s when price didn't climb as much.

Upward breakouts saw failures hold reasonably steady over the last 30 years.

Table 74.9 shows busted pattern performance. For the wedge to bust, price breaks out in one direction, moves no more than 10%, and then reverses. It has to travel to the other end of the wedge and close beyond it to bust.

For example, a busted downward breakout happens when price breaks out downward, drops less than 10%, and then rises to close above the top of the wedge.

Busted patterns count. Because wedges can be tall, I would expect a low bust rate, and that's true but only after an upward breakout. Downward breakouts seem to bust double to triple the rate of upward breakouts.

Busted occurrence. I sorted busted patterns by how many times they busted. Single busted patterns placed first, but check the table for which